- The report points to significant financial irregularities, diversion of funds through related parties, fabrication of books to show fraudulent non-existent retail loans, round-tripping of funds and utilisation of diverted amounts to create assets by Kapil and Dheeraj Wadhawan and their associates





- 35 entities were disbursed loans to the tune of Rs 29,100.33 crore between April 2015 and December 2018. Of this, around Rs 29,849.62 crore was outstanding
- Funds were diverted within a short span of one month in many cases, round-tripped for investments in NCDs/ preference shares of the promoter group entities, or loans were rolled over without classifying the accounts as NPAs
- Repayments to the tune of several crores of rupees were not traceable in bank account statements in a number of instances, and moratorium on principal and interest was given in a number of cases without adequate justification
- DHFL and its promoters disbursed funds as project finance but reflected them as retail loans in their books. This led to the creation of an inflated retail loans portfolio, which had 181,664 false and non-existent retail loans of Rs 14,095 crore

bursed money as project finance but reflected this as retail loans. This led to an inflated retail loans portfolio with 181,664 false and non-existent retail loans of Rs 14,095 crore. The details of such loans under dummy names were maintained in a separate accounting system, and then transferred to the main accounting software. In another instance of financial irregularity, Rs 600 crore of builders' finance was given to DO IT Urban Ventures in which Rana Kapoor's wife Bindu and daughter Roshni were directors.

The company's collapse started in June 2019, when it defaulted on Rs 900 crore worth of payments. In November 2019, DHFL declared insolvency, with the Reserve Bank of India referring it to the National Company Law Tribunal (NCLT) for insolvency proceedings. In July 2021, the Ajay Piramal-led Piramal Capital & Housing Finance acquired DHFL by paying Rs 14,700 crore in cash to creditors as per an NCLT-approved resolution plan. The liquidation proceedings enabled the lenders to recover Rs 5,977.93 crore and fresh NCDs of Rs 7,186.74 crore. Currently DHFL's account with the consortium members is classified as an NPA and declared 'fraud' by each of them. As per Union Bank's complaint, DHFL owes the maximum—Rs 9,898.76 crore—to State Bank of India. (For others, see *What DHFL Owes the Banks.*)

## A RECURRING SAGA

How did a scam of such gigantic proportions escape the notice of 17 banks in the first place? Financial experts attribute it to the failure of due diligence at all levels in the banking system. It begins from the quality of the banking boards, where members are drawn from various professions and may not have a keen understanding of the sector. "Bank boards are not expected to scrutinise each and every loan, they only need to see if the policy the board has framed around giving credit is robust and whether adequate financial controls exist," says Ashvin Parekh, a financial consultant.

**CASES LIKE DHFL HAPPEN BECAUSE OF FAILURE OF DUE DILIGENCE AT ALL LEVELS. EVERYONE EXPECTS THE LEAD BANKER TO DO THE DUE DILIGENCE WHEN ALL OF THEM SHOULD**

Also, once a borrower realises his loan book is in trouble, he looks for ways to get further loans sanctioned. In the DHFL case, the promoters had spread their loan book in such a way that they could take loans from several lenders, not just the big banks. These included cooperative banks, such as PMC Bank, where the quality of evaluation is questionable. That, to an extent, helped them conceal the alleged fraud. "There is a general belief that the lead banker, who has the largest exposure, will do all the due diligence. Ideally, they are all supposed to. At least one of the 17 banks should have given a shoutout much earlier," says an expert.

With consolidation reducing the number of banks, the sector should have had the ability to create more intelligence on the valuation and health of banks. "The level of intelligence needs to go up by a good few notches," the expert adds. However, as Parekh points out, "The ability to suspect frauds, the institutional knowledge available at the banks to do so, is so limited and, if available, is centralised." As the process is time-consuming, it proves costly for banks. So, until a big loss sends the banking system into shock, they are content to let sleeping dogs lie. They keep funding such accounts in the hope of recovering their loans some day.

Therer are also times when promoters use political or bureaucratic influence to persuade banks to give loans. The Wadhawan brothers, in fact, are believed to have used their political connections to push state-owned banks to give DHFL loans despite its deteriorating financial health. For the moment, the Wadhawan brothers have been denied bail. Dheeraj, however, has reportedly been in jail for only nine of the 24 months, spending the rest in hospitals, citing the 'right to health'.

Have any lessons been learnt from the way cunning businessmen such as Vijay Mallya, Nirav Modi and now the Wadhawans milked the system dry? Not yet, it seems, as we still lack proper safeguards to check such fraud. Till that happens, the banks will bleed. ■